

Levels of Strategy

■ Corporate Strategy

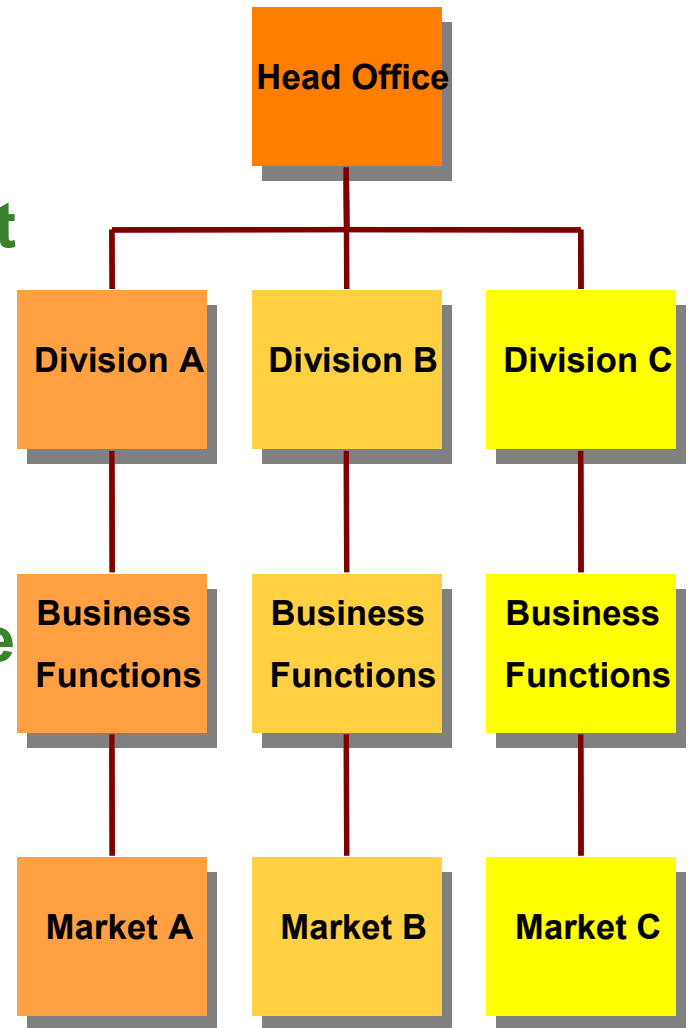
- the corporation's overall direction and the management of its various businesses

■ Business Level Strategy

- concerns the competitive position of a corporation's products or units within a given industry

■ Functional Level Strategy

- maximizes resource productivity



Levels of Strategy (2)

Corporate Strategy

- Which business should we be in?
- Which core competencies do we have?
- What is our overall vision?
- Rules for working?

Business Strategy

- Which markets do we serve?
- How do we compete?
- What technologies and skills do we use?

Functional Strategy

- Strategies for each function, e.g. Marketing, Finance, Operations, IT, Human Resources

Relationship Between Strategy and Business Model

Strategy - Deals with a company's competitive initiatives and business approaches

Business Model - Concerns whether revenues and costs flowing from the ***strategy*** demonstrate the business can be amply profitable and viable